

18 The Role of Human Rights in Investment Law and Arbitration

State Obligations, Corporate Responsibility and Community Empowerment

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18.1 The Three Roles of Human Rights in the Investment Regime

Human rights and investment law are neither friends nor foes.¹ Instead, it is more fruitful to conceptualise their relationship as ambiguous per nature. Human rights and investment provisions can be both complementary, especially in the protection of the right to property, and conflicting, for instance when obligations incurred under investment agreements restrict a state in realising human rights standards. Vice versa, investment law could lead to sustainable development resulting ultimately in better living circumstances for the people concerned,² but is equally prone to prioritise economic rationales over fundamental human rights standards.³

Since the rise of international investment law and arbitration in the 1990s, human rights scholars and practitioners have criticised the impact of investment law upon the full realisation of human rights. However, in the last decade, the debate also gained momentum in the investment regime, triggering new developments in arbitration and

¹ See also M Krajewski, 'Human Rights in International Investment Law: Recent Trends in Arbitration and Treaty-Making Practice' (2017) *Yearbook on International Investment Law & Policy* 177.

² PT Muchlinski, 'Holistic Approaches to Development and International Investment Law: The Role of International Investment Agreements', in J Faundez, C Tan (eds.), *International Economic Law, Globalization and Developing Countries* (Edward Elgar 2010); SW Schill, 'Investitionsschutzrecht als Entwicklungsvölkerrecht' (2012) 72 *Zeitschrift für ausländisches öffentliches Recht und Völkerrecht* 261.

³ See Statement by Alfred-Maurice de Zayas, Independent Expert on the Promotion of a Democratic and Equitable International Order at the Human Rights Council, 16 September 2015, available at: www.ohchr.org/EN/NewsEvents/Pages/DisplayNews.aspx?NewsID=16461&t.

treaty-making.⁴ This contribution zooms into the relationship between human rights and investment law from three perspectives: state obligations, corporate responsibility and community empowerment.

Today, more than 3,000 bi- and multilateral investment treaties aim to facilitate international investment by protecting foreign investors from interference by host states. In order to achieve this, investment agreements typically grant investors protection from expropriation without compensation, to receive fair and equitable treatment, to enjoy minimum standards of due process and justice and not to be treated differently from domestic corporations. In case an investor alleges a violation of its rights under an investment treaty, it can file a claim against the host state for damages before an international arbitral tribunal. Investment agreements thus naturally limit the state's discretion in imposing actions, which would impact foreign investment. This becomes particularly problematic when those state measures aim to regulate issues of vital public concern such as the protection of human rights, labour and the environment.

Human rights concerns have thus taken the front stage in the manifold critique levied against investment arbitration. Exemplary for this development is the case of *Philipp Morris v. Uruguay*.⁵ After Uruguay imposed stronger anti-smoking legislation to protect public health, the international tobacco giant Philip Morris sued Uruguay before the World Bank's International Centre for the Settlement of Investment Disputes (ICSID) in 2010. Philipp Morris alleged that the state's measures violated

⁴ See E de Brabandere, 'Human Rights and International Investment Law', in M Krajewski, RT Hoffmann (eds.), *Research Handbook on Foreign Direct Investment* (Edward Elgar 2019) 619; J Coleman, KY Cordes, L Johnson, 'Human Rights Law and the Investment Treaty Regime', CCSI Working Paper (2019) 1–25; P-M Dupuy, EU Petersmann and F Francioni (eds.), *Human Rights in International Investment Law and Arbitration* (Oxford University Press 2009) in particular the chapters by P-M Dupuy, C Reiner, C Schreuer and M Hirsch ; SL Karamanian, 'Human Rights Dimensions of Investment Law', in E de Wet and J Vidmar (eds.), *Hierarchy in International Law: The Place of Human Rights* (Oxford University Press 2012) 236; U Kriebaum, 'Human Rights and International Investment Law', in Y Radi (ed.) *Research Handbook on Human Rights and Investment* (Edward Elgar 2018) 13; E-U Petersmann and V Kube, 'Human Rights Law in International Investment Arbitration', in A Gattini, A Tanzi and F Fontanelli (eds.), *General Principles of Law and International Investment Arbitration* (Brill Nijhoff 2018) 221; S Steininger, 'What's Human Rights Got To Do With It? An Empirical Analysis of Human Rights References in Investment Arbitration' (2018) 31 *Leiden J Int L* 33–58.

⁵ *Philip Morris Brands Sàrl, Philip Morris Products S.A. and Abal Hermanos S.A. v. Oriental Republic of Uruguay*, ICSID Case No. ARB/10/7, Award (8 July 2016). For a similar case, see also *Philip Morris Asia Limited v. The Commonwealth of Australia*, UNCITRAL, PCA Case No. 2012–12, Award (8 July 2017).

its protection under the Swiss-Uruguay BIT and filed for damages of 22 million USD. While Uruguay succeeded in the end, and all claims were dismissed, the case remains a cautionary tale highlighting how powerful multinational corporations use investment arbitration vis-à-vis developing states as an instrument of regulatory chill.

Yet, states are not the only actors for whom human rights can play an important role in investment law. Recent developments in investment arbitration have reaffirmed that corporations are not only recipients of rights under bilateral investment treaties, but also subjects of international law and can thus bear at least some human rights obligations under international law.⁶ Moreover, in a growing number of cases such as *Philipp Morris*, civil society intervened as third party by relying heavily on human rights arguments, thus enabling affected communities to voice their interests.

The present contribution thus investigates the multiple roles of human rights in investment law and arbitration. It argues that human rights play an important role for state parties, foreign investors and affected communities alike. They are not only conflicting and complementary to investment treaties, but can both expand and restrict the scope of jurisdiction of investment tribunals. For states, investors and third parties alike human rights can be used as a sword or a shield in international investment law and arbitration. The different roles human rights play in investment law and arbitration very much depend on the underlying concept of human rights. This chapter zooms into three different roles of human rights in investment law and arbitration: human rights as obligations for state parties (Section 18.2); human rights as defence rights and obligations for corporate actors (Section 18.3); and human rights as tools to address structural imbalances for affected communities (Section 18.4). Those three perspectives correspond with the three pillars of the business and human rights framework: the state's duty to protect, the corporate responsibility to respect and access to effective remedies for right-holders.⁷

⁶ See e.g. *Urbaser S.A. and Consorcio de Aguas Bilbao Bizkaia, Bilbao Biskaia Ur Partzuergoa v. The Argentine Republic*, ICSID Case No. ARB/07/26, Award (8 December 2016) para. 1194f.

⁷ United Nations, 'Guiding Principles on Business and Human Rights. Implementing the United Nations "Protect, Respect and Remedy" Framework' (2011).

18.2 Human Rights As Obligations of States Parties

The following section analyses how states attempt to reconcile diverging human rights and investment law obligations, in particular by regulating foreign investment through treaty-making (subsection 18.2.1) and in their argumentation before arbitral tribunals (subsection 18.2.2).

18.2.1 The Obligation of States to Regulate Foreign Investment

The effect of foreign investment upon human rights in host states has long been a matter of concern for scholars of political economy.⁸ On the one hand, critics of global capitalism argue that foreign investment is a form of imperialism, which, depends on the exploitation of foreign markets and resources.⁹ In fact, international investment law emerged in the colonial period when capital-exporting states aimed to expand their economic interests via non-European nations.¹⁰ According to Stephen Hymer, modern multinational corporations engaged in foreign investment actively benefit from repressive regimes as they provide them with capital.¹¹

On the other hand, many argue that modern foreign direct investment does not only improve economic growth, but also human rights. A specific examination of labour rights and foreign direct investment by Robert G Blanton and Shannon L Blanton found that this relationship varies across different economic sectors: while the services industry experiences the lowering of labour standards following 'a race to the bottom', increased direct investment in the manufacturing sector emboldens labour rights.¹² Deborah Spar claimed in 1999 that particular non-extractive corporations have an interest in strengthening the rule of

⁸ C Cutler, 'Human Rights Promotion through Transnational Investment Regimes: An International Political Economy Approach' (2013) 1 *Politics and Governance* 16.

⁹ V Lenin, *Imperialism, the Highest Stage of Capitalism* [1917]; see also R Gilpin, *The Political Economy of International Relations* (Princeton University Press 1987).

¹⁰ K Miles, *The Origins of International Investment Law. Empire, Environment and the Safeguarding of Capital* (Cambridge University Press 2013).

¹¹ SH Hymer, *The International Operations of National Firms. A Study of Direct Foreign Investment* (MIT 1960).

¹² RG Blanton, SL Blanton, 'Labor Rights and Foreign Direct Investment: Is There a Race to the Bottom?' (2012) 38 *International Interactions* 267.

law and fundamental civil rights in developing host countries.¹³ While several empirical studies have shown that a state's good human rights record attracts foreign direct investment, a recent study by Ana Carolina Garriga identified that the participation of a state in human rights regimes curbs the negative effect of human rights on foreign direct investment.¹⁴ Hence, investors might not care about the actual human rights record of a host country, as long as the state has committed to human rights on paper.

States have undertaken to respect, promote and fulfil human rights in their jurisdictions in all situations. This holds also true for the context of investment law.¹⁵ Accordingly, states parties possess a 'right to regulate' in order to realise public policy goals.¹⁶ In order to achieve the full realisation of human rights, one can even speak of a 'duty to regulate'. According to the United Nations High Commissioner for Human Rights, this requires states parties to regulate particular forms of investment, to use performance requirements and other measures to promote cultural rights or protect vulnerable groups, to withdraw commitments in order to liberalise investments following negative experiences, or to introduce new regulations to promote and protect human rights.¹⁷ In the drafting of new investment agreements, states parties should thus be mindful of including the promotion and protection of human rights among the objectives of investment agreements, ensure sufficient policy space to promote and respect human rights, and clarify investors' obligations alongside their respective rights.¹⁸ This was also reaffirmed in Principle 9 of the Guiding Principles on Business and Human Rights.¹⁹

¹³ D Spar, 'Foreign Investment and Human Rights' (1999) 42 Challenge 55.

¹⁴ AC Garriga, 'Human Rights Regimes, Reputation and Foreign Direct Investment' (2016) 60 International Studies Quarterly 160–72.

¹⁵ U Kriebaum, 'Human Rights of the Population of the Host State in International Investment Arbitration' (2009) 10 JWIT 653. See also UN HRC, 'General Comment No. 31 The Nature of the General Legal Obligation Imposed on State Parties to the Covenant' (2004).

¹⁶ See also C Titi, *The Right to Regulate in International Investment Law* (Nomos/Hart 2014); LW Mouyal, *International Investment Law and the Right to Regulate: A Human Rights Perspective* (Routledge 2016).

¹⁷ Sub-Commission on the Promotion and Protection of Human Rights, 'Human Rights, Trade, and Investment', Report of the High Commissioner for Human Rights (2003).

¹⁸ Ibid., paras. 57–9.

¹⁹ UN Guiding Principles (n. 7) 12: 'States should maintain adequate domestic policy space to meet their human rights obligations when pursuing business-related policy objectives with other States or business enterprises, for instance through investment treaties or contracts.'

Traditionally, investment treaties have not addressed human rights. However, there is a growing trend to include them in the preamble, as an objective of the treaty or even in the substantive provisions under the right to regulate or as an exception to host state obligations. Among the more than 3,000 investment treaties accounted for by UNCTAD, the term 'human rights' can be found in 363 treaties, of which 260 are currently in force.²⁰ While human rights were mentioned also in earlier trade, association and cooperation agreements, most of the BITs featuring human rights were signed from the early 2000s onwards. Around a third (ninety-four) of the treaties mentioning human rights are currently under negotiation or being signed.²¹

The Morocco-Nigeria BIT, signed in 2016, is one of the few investment treaties, which contains a general and unlimited reference to human rights.²² The preamble, which serves as a guide for treaty interpretation based on article 31(1) of the Vienna Convention on the Law of Treaties (VCLT), explicitly mentions that investment contributes to 'the furtherance of human rights and human development'. The importance of human rights is also stressed throughout the substantive provisions of the treaty. It includes both non-binding commitments for states to provide for high levels of human rights protection and to combat corruption, as well as hard, binding formulations to the parties. The latter entails most importantly the obligation that 'all parties shall ensure that their laws, policies and actions are consistent with the international human rights agreements to which they are a Party' in article 15(6). This provision, congruent with the ECOWAS Supplementary Act on Investment,²³ thus allows states parties to harmonise commitments under the investment treaty with human rights obligations, and might even allow arbitral

²⁰ UNCTAD, Investment Policy Hub, International Investment Agreements Navigator, available at: <https://investmentpolicy.unctad.org/international-investment-agreements/by-economy>.

²¹ Reciprocal Investment Promotion and Protection Agreement between the Government of the Kingdom of Morocco and the Government of the Federal Republic of Nigeria (2016).

²² For other recent examples, see the Netherlands Model BIT (2019), the Belarus-Hungary BIT (2019) and the Australia-Hong Kong BIT (2019).

²³ ECOWAS, Supplementary Act A/Sa.3/12/08 'Adopting Community Rules on Investment and the Modalities for their implementation with ECOWAS' (2008), Appendix 3, Art. 21(5).

tribunals to claim jurisdiction over human rights issues arising out of investment activity.²⁴

Yet, most investment treaties currently in place do not feature explicit provisions on human rights, hence, when a state violates investment provisions on account of its human rights obligations, the investor can initiate proceedings before arbitral tribunals. The following section will provide an overview of the mixed practice of arbitral tribunals vis-à-vis the human rights obligations of states parties.

18.2.2 Human Rights Obligations of States in Arbitral Practice

The jurisdiction of arbitral tribunals depends on the provisions of the investment treaty in place; this means that, in most cases, it is limited 'to any legal dispute arising directly out of an investment' as determined in article 25 of the ICSID Convention. As human rights provisions are absent from most investment treaties, they do not generally fall into the scope of investment arbitration. However, there is a growing number of cases, in which a state party justified its violation of rights incurred from an investment treaty on the basis of its human rights obligations.

On the one hand, some state parties use human rights justifications based on constitutional argumentation. For example, in the aforementioned *Philipp Morris* case, Uruguay invoked article 44 of its constitution, which obliges the state to protect public health.²⁵ This could be done by relying on clauses in investment treaties stipulating that investments must be 'in accordance with host state law'. In particular, in the inter-American human rights regime, state parties have given human rights treaties a special constitutional status. In the case of *CMS v. Argentina*, Argentina argued that the obligation towards human rights treaties surpasses the obligation to fulfil an investment treaty: 'while treaties override the law, they are not above the Constitution and must accord with constitutional public law. Only some basic treaties on human rights have been recognized by a 1994 constitutional amendment as having

²⁴ See generally also O Ejims, 'The 2016 Morocco-Nigeria Bilateral Investment Treaty: More Practical Reality in Providing a Balanced Investment Treaty?' (2019) 34 ICSID Review 62; N Zugliani, 'Human Rights in International Investment Law: The 2016 Morocco-Nigeria Bilateral Investment Treaty' (2019) 68 ICLQ 765.

²⁵ *Philipp Morris v. Uruguay* (n. 5) para. 302.

constitutional standing and, therefore, in the Respondent's view, stand above ordinary treaties such as investment treaties.²⁶

On the other hand, states parties also rely on direct obligations incurred from their participation in human rights instruments. For instance, in the case of *EDFI v. Argentina*, Argentina referred in general terms to the Universal Declaration of Human Rights, the International Covenant for Civil and Political Rights and the UN Convention on the Rights of the Child, and more specifically, to provisions allowing emergency measures in the American Convention on Human Rights and the European Convention on Human Rights. While those rights were not directly applicable in the legal dispute, Argentina argued that 'obligations under investment treaties do not undermine obligations under human rights treaties, and thus, the Treaty should be construed and interpreted consistently with international canons aimed at fostering respect for human rights'.²⁷

It is upon arbitral tribunals to decide whether to accept the human rights defence invoked by states. In the absence of an explicit provision in the applicable law, tribunals can take human rights considerations into account by relying on the principle of systemic integration in article 31(3)(c) VCLT. This principle requires consideration of 'any relevant rule of international law applicable in the relations between the parties' in the interpretation of the applicable law. However, the resulting arbitral practice in this respect remains rather mixed. Exemplary of diverging interpretations are the proceedings in *Suez*, *Saur* and *Urbaser*. They all arose from the same historical context, the Argentinean financial crisis in 2001–2. Argentina's economic measures during and after the crisis had impacted companies which had invested in the water and sewage services, resulting in more than twenty cases brought before arbitral tribunals in the following years. Before investment tribunals, Argentina argued that it had implemented those measures out of necessity to safeguard its obligations under human rights treaties, in particular the right to water. Yet, the tribunal in the *Suez* case held that both

²⁶ *CMS Gas Transmission Company v. The Republic of Argentina*, ICSID Case No. ARB/01/8, Award (12 May 2005) para. 114. Similar arguments were also made in *Siemens A.G. v. The Argentine Republic*, ICSID Case No. ARB/02/8, Award (17 January 2007) and *Sempra Energy International v. The Argentine Republic*, ICSID Case No. ARB/02/16, Award (28 September 2007) para. 331.

²⁷ *EDF International S.A., SAUR International S.A. and León Participaciones Argentinas S. A. v. Argentine Republic*, ICSID Case No. ARB/03/23, Award (11 June 2012) para. 192.

obligations – the fair and equitable treatment of the investors and the provision of water to the populations – have to be complied with simultaneously:

Argentina has suggested that its human rights obligations to assure its population the right to water somehow trumps its obligations under the BITs and the existence of the human right to water also implicitly gives Argentina the authority to take actions in disregard of its BIT obligations. The Tribunal does not find a basis for such a conclusion either in the BITs or international law. Argentina is subject to both international obligations, *i.e.* human rights *and* treaty obligations, and must respect both of them. Under the circumstances of this case, Argentina's human rights obligations and its investment treaty obligations are not inconsistent, contradictory, or mutually exclusive. Thus, as was discussed above, Argentina could have respected both types of obligations.²⁸

Two years later, in 2012, the arbitral tribunal in the *Saur* case stated that human rights in general, and the right to water in particular, constitute general principles of international law and thus form part of the applicable law of the dispute.²⁹ However, those obligations need to be balanced with the commitments vis-à-vis foreign investors.³⁰

The *Urbaser* judgment from 2016 demonstrated the most human rights-friendly approach to the interpretation of a BIT as it noted:

The Tribunal further retains that the Convention has to be interpreted in the light of the rules set out in the Vienna Convention on the Law of Treaties of May 23, 1969, and that Article 31 para 3 (c) of that Treaty indicates that account is to be taken of 'any relevant rules of international law applicable in the relations between the parties.' The BIT cannot be interpreted and applied in a vacuum. The Tribunal must certainly be mindful of the BIT's special purpose as a Treaty promoting foreign investments, but it cannot do so without taking the relevant rules of international law into account. The BIT has to be construed in harmony with other rules of international law of which it forms part, including those relating to human rights.³¹

Arguments advocating the normative prioritisation of human rights over investment obligations have so far never been accepted by investment

²⁸ *Suez, Sociedad General de Aguas de Barcelona S.A., and InterAguas Servicios Integrales del Agua S.A. v. The Argentine Republic*, ICSID Case No. ARB/03/17, Decision on Liability (30 July 2010) para. 240.

²⁹ *SAUR International SA v. Republic of Argentina*, ICSID Case No. ARB/04/4, Decision on Jurisdiction and Liability (6 June 2012) para. 330.

³⁰ *Ibid.*, para. 331f. ³¹ *Urbaser v. Argentina* (n. 6) para. 1200.

tribunals. The only exception is human rights amounting to *jus cogens* as the tribunal in *Phoenix v. Czech Republic* clarified: 'To take an extreme example, nobody would suggest that ICSID protection should be granted to investments made in violation of the most fundamental rules of protection of human rights, like investments made in pursuance of torture, of genocide, or in support of slavery or trafficking of human organs.'³² Hence, in case of a clash between human rights and investment obligations, an interpretation attempting to 'harmonise' the investment treaty in place with human rights commitments remains the best case scenario for the protection of human rights.³³

The (re-)negotiation of treaties with the explicit integration of human rights thus poses a more innovative approach for state parties to honour their human rights obligations. Those newly designed investment treaties often include a stricter regulation of corporate activity, too, which will be analysed in the following section.

18.3 The Double-Edged Nature of Human Rights vis-à-vis Foreign Investors

Since the start of the twenty-first century, the framework of business and human rights has further strengthened the debate on corporate responsibility in investment law. Traditionally, investment treaties endowed corporations with defence rights against state interference, as will be explained in subsection 18.3.1. However, in the last decade, both treaty-making and arbitral practice shifted towards the recognition of a corporate responsibility to respect human rights in order to regulate the activities of investors, as will be analysed in subsection 18.3.2.

18.3.1 Investor Rights As Defence against State Interference

The protection of the rights of investors against undue interference by host states is at the core of the investment regime. Since the seventeenth century, major trading companies such as the English East India Company or the Dutch

³² *Phoenix Action, Ltd. v. The Czech Republic*, ICSID Case No. ARB/06/5, Award (15 April 2009) para. 78.

³³ See also JH Fahner, M Happold, 'The Human Rights Defence in International Investment Arbitration: Exploring the Limits of Systemic Integration' (2019) 68 ICLQ 741.

Verenigde Oostindische Compagnie merged imperialist and commercial interests in furtherance of European expansionism.³⁴ As the interests of states aligned with those corporations, and trading companies exercised de facto state power in colonised territory, their protection became of utmost importance to European powers.³⁵ Bilateral treaties of friendship, commerce and navigation based on reciprocal trade protection measures became a staple of diplomatic politics. Those treaties also conferred protection to individuals and their property, national treatment and most-favoured nation standards.³⁶ This trend was further exacerbated by the development of the law of diplomatic protection of aliens in the nineteenth century. According to those newly emerging legal doctrines, investors could rely on the principles of diplomatic protection, in particular international minimum standards of treatment and protection from expropriation.³⁷

The rise of modern investment law, starting from the first bilateral treaty between Germany and Pakistan in 1959,³⁸ further engrained the protection of investor rights against state interference. In modern investment treaties, foreign investors are granted a plethora of substantive rights. They enjoy, among others, the protection from expropriation and the right to fair and equitable treatment vis-à-vis host states. Those rights overlap significantly with human rights provisions, such as the right to property, and procedural safeguards, for instance the right to a fair trial and access to justice. Hence, it is not surprising that in a significant number of cases, foreign investors themselves relied on human rights provisions in investment arbitration.

A prime example for this practice is the case of *Al-Warraq v. Indonesia* whereby the foreign investor relied on articles 11 UDHR, 14(2) ICCPR, 6(2) ECHR, 8(2) IACHR and 7(1)(b) ACHPR to support his 'right to be presumed innocent until proven guilty' and continued with this very extensive use of human rights references also for his alleged 'right to be informed about the charges' and 'right to not be tried in absentia'.³⁹ By invoking several

³⁴ Miles (n. 10) 33–42. ³⁵ Cf. Hugo Grotius, *De Jure Praedae Commentarius* [1604].

³⁶ Cf. A Paulus, 'Treaties of Friendship, Commerce and Navigation', *Max Planck Encyclopedia of Public International Law* (last updated March 2011).

³⁷ Miles (n. 10) 47–69.

³⁸ Treaty for the Promotion and Protection of Investments (with Protocol and exchange of notes), Germany and Pakistan (1959).

³⁹ *Hesham T. M. Al Warraq v. Republic of Indonesia*, UNCITRAL, Award (15 December 2014) paras. 177–84, 202–4, 240–6.

human rights references Al-Warraq intended to establish a universal consent on the concept of ‘basic rights’ in article 10.1 of the Organisation of Islamic Conference (OIC) investment agreement. While Al-Warraq succeeded in establishing arbitration, his broad interpretation of ‘basic rights’ was rejected. The tribunal found that ‘properly interpreted in its context “basic rights” refer to “basic property rights” and is not a general reference to civil and political rights such as the right to a fair trial pursuant to article 14 ICCPR relied upon by the Claimant’.⁴⁰ However, the tribunal took the references into account when interpreting fair and equitable treatment.⁴¹

Most importantly, investment treaties grant foreign investors the procedural right to directly pursue arbitral mechanisms against violations of their rights by host states. Most BITs include provisions by which states parties give general, binding consent for compulsory arbitration of future investment disputes. Consequently, according to Barnali Choudhury this ‘exposes a state to a broad range of claims by a foreign investor related to the state’s exercise of public authority. These investment treaties, which initially were aimed at reducing an investor’s risk of investing abroad, have now been transformed into tools with which to assail an extensive range of host states governmental activity.’⁴²

Investors avail the language of human rights to embolden their claims vis-à-vis the public interest of the host state. This does not only make human rights complicit in the furtherance of economic rationales, but is also more appealing to investment tribunals, which take those references more into account than human rights-based arguments by host states.⁴³ As the political and financial resources of many multinational corporations far outweigh many states of the Global South, the threat of a possible lawsuit further endangers public interest and central features of democracy. It might also leave host states unable to hold foreign investors accountable for human rights abuses. This has triggered an extensive debate on how to regulate investor behaviour in conformity with human rights.

⁴⁰ Ibid., para. 521. ⁴¹ Ibid., para. 522.

⁴² B Choudhury, ‘Recapturing Public Power: Is Investment Arbitrations Engagement of the Public Interest Contributing to the Democratic Deficit?’ (2008) 41 Vand J Trans L 775–832, 782.

⁴³ Cf. Steininger (n. 4) 43. See also T Broude, C Henckels, ‘Not All Rights Are Created Equal: A Loss-Gain Frame of Investor Rights and Human Rights’, (2021) 34 Leiden J Int L 93–108.

18.3.2 The Corporate Responsibility to Respect Human Rights

States are the primary duty-bearers in both investment and human rights law. However, similarly to human rights law, the discussion on a corporate responsibility to respect human rights has also emerged in the investment regime. In the absence of a treaty on business and human rights establishing binding obligations for corporations,⁴⁴ the emerging corporate responsibility is often based on soft law instruments, such as the OECD Guidelines for Multinational Enterprises, the ILO Tripartite Declaration of Principles concerning Multinational Enterprises and Social Policy and the United Nations Guiding Principles. One can identify several recent strategies in treaty-making and arbitration which are aimed at holding foreign investors accountable.

First, some treaties contain references to aforementioned soft, non-binding international standards in order to establish best endeavour-obligations for corporations. The aim of this strategy is to encourage investors to voluntarily adopt a more human rights-inclusive approach in their investment. For instance, article 14(2)(b) of the 2015 Brazilian Model Cooperation and Facilitation Investment Agreement states that '[t]he investors and their investment shall endeavour to comply with the following voluntary principles and standards for a responsible business conduct and consistent with the laws adopted by the Host State receiving the investment . . . (b) Respect the internationally recognized human rights of those involved in the companies' activities . . .'.⁴⁵ Other treaties highlight that investors 'should' adhere to international human rights standards⁴⁶ or simply 'encourages' foreign corporations to be mindful of corporate social responsibility standards.⁴⁷

Second, many international investment treaties contain so-called 'legality clauses', which oblige foreign investors to comply with the domestic laws of the host state. Those laws usually include human rights provisions. The 2016 Indian Model BIT, for example, holds in article 12.1 that '[i]nvestors and their Investments shall be subject to and comply with the Law of the Host States. This includes, but is not limited to, . . . (v) Laws relating to human rights.'⁴⁸ While this does not create direct investor

⁴⁴ See Chp. 25 in this volume.

⁴⁵ Brazil Model BIT (2015). Significantly, the Brazilian model does not include an investor-state dispute settlement mechanism.

⁴⁶ Argentina-Qatar BIT (2016) Art. 12. ⁴⁷ Netherlands Model BIT (2019) Art. 7(2).

⁴⁸ India Model BIT (2015).

obligations, it ‘could turn a violation of domestic law into an issue subject to a potential investor-state dispute’.⁴⁹ However, case law applying human rights under the legality clause is so far non-existent.⁵⁰

A third, rare but promising, strategy is the inclusion of direct human rights obligations of investors in treaties. The most prominent example of this approach is the aforementioned Morocco-Nigeria BIT, which provides in article 18(2) that ‘[i]nvestors and investments shall uphold human rights in the host state’. Those binding obligations post-establishment of an investment also extend to core labour standards (paragraph 3). Moreover, ‘[i]nvestors and investments shall not manage or operate the investments in a manner that circumvents international environmental, labour and human rights obligations to which the host state and/or home state are parties’ (paragraph 4). A similarly binding formulation (‘shall’) conferring investor obligations can also be found in two regional investment agreements, namely article 14 (2) of the Supplementary Act on Investment of the Economic Community of West African States (ECOWAS) from 2009 and article 19 of the African Union’s Draft Pan-African Investment Code (PAIC) from 2019. However, states remain reluctant to introduce binding obligations for foreign investors. Not even Morocco or Nigeria have included a similarly firm approach in later treaties.⁵¹

Similar developments can also be observed in recent arbitral practice. The 2016 award in *Urbaser v. Argentina* constitutes a path-breaking decision for the relationship between human rights and investment law.⁵² For the first time, a tribunal found that it enjoyed jurisdiction over a human rights counterclaim.⁵³ The dispute was again based in the context of the Argentinian financial crisis and the termination of concessions in the water

⁴⁹ M Krajewski, ‘A Nightmare or a Noble Dream? Establishing Investor Obligations Through Treaty-Making and Treaty-Application’ (2020) 5 Business and Human Rights Journal 105, 120.

⁵⁰ See also de Brabandere (n. 4) 636. ⁵¹ Krajewski (n. 49) 116f.

⁵² See also K Crow, L Lorenzoni Escobar, ‘International Corporate Obligations, Human Rights and the Urbaser Standard: Breaking New Ground?’ (2017) 144 Beiträge zum transnationalen Wirtschaftsrecht 1; E Guntrip, ‘Urbaser v. Argentina: The Origins of a Host State Human Rights Counterclaim in ICSID Arbitration?’, EJIL: Talk! (10 February 2017).

⁵³ Cf., P Abel, ‘Counterclaims Based on International Human Rights Obligations of Investors in International Investment Arbitration’ (2018) 1 Brill Open Law 61; E de Brabandere, ‘Human Rights Counterclaims in Investment Treaty Arbitration’ (2018) 50 Belgisch Tijdschrift voor Internationaal Recht / Revue Belge de Droit International 591. Counterclaims are also increasingly accepted for environmental issues, see also *Burlington Resources Inc. v. Republic of Ecuador*, ICSID Case No. ARB/08/5, Decision on Counterclaims (7 February 2017) and *Perenco Ecuador Limited v. Republic of Ecuador*, ICSID Case No. ARB/08/6 Award (27 September 2019).

and sewage services. In contrast to earlier cases such as *Suez* and *Saur*, Argentina did not rely on the right to water as a defence but proactively filed a counterclaim, claiming that the investor's failure to invest appropriately into the water concession violated its obligations under international law, in particular human rights law. The Argentina-Spain BIT included no provision on investor obligations, however it included a reference to 'general principles of international law', which allowed the tribunal to adopt a human rights-friendly approach in its reasoning.

Most importantly, the *Urbaser* tribunal clarified that investors are accepted as partial subjects under investment law, and thus can, in principle, also incur obligations. The tribunal in *Urbaser* thereby broke with earlier cases such as *Spyridon Roussalis v. Romania* which had long accepted that 'the BIT imposes no obligations on investors, only on contracting states'.⁵⁴ In *Urbaser*, the Tribunal determined that 'international law accepts corporate social responsibility as a standard of crucial importance for companies operating in the field of international commerce. This standard includes commitments to comply with human rights in the framework of those entities' operations conducted in countries other than the country of their seat or incorporation'.⁵⁵ While this does not mean that multinational companies are bound by the same human rights standards as states, 'the human right for everyone's dignity and its right for adequate housing and living conditions are complemented by an obligation on all parts, public and private parties, not to engage in activity aimed at destroying such rights'.⁵⁶ Thus, in light of the principle of systemic integration, the 'BIT cannot be interpreted and applied in a vacuum'.⁵⁷ Nevertheless, when examining the right to water, the Tribunal found that it only obliges state parties to 'provide' and not private actors to 'abstain' and Argentina's counterclaim was dismissed. The Tribunal concluded that '[t]he situation would be different in case an obligation to abstain, like a prohibition to commit acts violating human rights would be at stake. Such an obligation can be of immediate application, not only upon states, but equally to individuals and other private parties'.⁵⁸

The 2018 award in *Aven v. Costa Rica* reaffirmed the *Urbaser* decision to hold investors accountable. The case was again initiated as a counterclaim

⁵⁴ *Spyridon Roussalis v. Romania*, ICSID Case No ARB/06/1, Award (7 December 2011).

⁵⁵ *Urbaser v. Argentina* (n. 6) para. 1195. ⁵⁶ *Ibid.*, para. 1199; see also para. 1209ff.

⁵⁷ *Ibid.*, para. 1200. ⁵⁸ *Ibid.*, para. 1210.

by Costa Rica, after the state had terminated investments in a tourism project due to environmental concerns. Costa Rica then claimed that the investors had violated domestic environmental regulations. Based on *Urbaser*, the tribunal argued that corporations could become subjects of international law especially ‘when it comes to rights and obligations that are the concern of all States, as it happens in the protection of the environment’.⁵⁹ As the investment chapter in the Dominican Republic–Central America Free Trade Agreement required foreign investors to abide by and comply with environmental protection measures by the host state ‘[t]here are no substantive reasons to exempt foreign investors of the scope of claims for breaching obligations under article 10, section A DR-CAFTA, particularly in the field of environmental law’.⁶⁰ However, as applied to human rights law, the *erga omnes* requirements limit the possible human rights violations to the most extreme human rights guarantees entailed in *jus cogens*.⁶¹

Another possible and innovative strategy was proposed by Philippe Sands in his Separate Opinion in *Bear Creek v. Peru* where he argued that human rights violations by investors could influence the amount of damages awarded by the tribunal.⁶² This approach might be more effective in influencing the behaviour of foreign investors and could be adopted even in the absence of provisions in the applicable law.⁶³

In sum, the corporate responsibility to respect human rights in investment law is still underdeveloped. Until now, human rights were more complicit in emboldening the position of investors vis-à-vis state parties than to hold them accountable. Recent attempts to introduce investor obligations by treaty-making or arbitral practice have shown that both states and tribunals become more aware of the legitimacy problems arising out of this asymmetry.⁶⁴ Yet, this asymmetry becomes even more glaring from the perspective of the third, ‘invisible’ participant in investment arbitration, the local communities affected by investment.

⁵⁹ *David R. Aven and Others v. Republic of Costa Rica*, ICSID Case No. UNCT/15/3, Award (18 September 2018) para. 738.

⁶⁰ *Ibid.*, para. 739. ⁶¹ Krajewski (n. 49) 128.

⁶² *Bear Creek Mining Corporation v. Republic of Peru*, ICSID Case No. ARB/14/21, Partial Dissenting Opinion of Professor Philippe Sands (30 November 2017).

⁶³ Krajewski (n. 49) 127.

⁶⁴ Cf. B Choudhury, ‘Investor Obligations for Human Rights’ (2020) ICSID Review 1–23).

18.4 Human Rights as Tools to Address Structural Imbalances of Affected Communities

The third possible role of human rights in investment law and arbitration constitutes the empowerment of affected communities. This section will first illustrate the structural challenges faced by affected communities in the investment regime, analysed in subsection 18.4.1, and then highlight how those communities have utilised the option of *amicus curiae* in arbitration proceedings to claim their human rights, as illustrated in subsection 18.4.2.

18.4.1 The Invisibility of Affected Communities in Investment Law and Arbitration

Investment law primarily regulates the interactions between two actors: states and foreign investors. Investment law serves states to facilitate investment and to shield foreign investors against unlawful interference. The general assumption is that the interests of individuals and communities are represented by states. However, the interests of communities and states do not always align. Host states, which are dependent on foreign investment to attract economic growth, might choose to bypass the approval of local communities in order to attract foreign investors. Moreover, many host states lack the capacity to provide access to effective remedies against powerful multinational companies. Communities impacted by the activities of foreign investors have generally no role to play either before or after the establishment of the investment. They remain invisible in the investment regime.⁶⁵

Naturally, investment projects heavily impact local communities. This holds particularly true for investments in the extractive sectors, such as mining and other projects engaged in the exhaustion of natural resources. Among 1,023 ISDS cases, more than 15 per cent (163) were brought by oil, gas and mining companies. Geographically, those disputes predominantly arose in Latin American states. According to Mining Watch, in the majority of thirty-eight multi-million-dollar claims brought by mining companies

⁶⁵ NM Perrone, 'The "Invisible" Local Communities: Foreign Investor Obligations, Inclusiveness, and the International Investment Regime' (2019) 113 *Am J Int'l L Unbound* 16.

against Latin American states, the communities most affected by mining projects had actively organised against the threat posed to their land, health, environment, self-determination and cultural way of life.⁶⁶ In many cases, indigenous groups suffer most profoundly from those investment activities.⁶⁷ Indigenous peoples have initiated proceedings before human rights courts to protect their territorial rights, and in particular the Inter-American Court of Human Rights has reaffirmed the state's duty to consult and obtain free, prior and informed consent from local communities before granting investment contracts.⁶⁸ However, in investment arbitration, this asymmetrical relationship between the investor and the state, on the one hand, and the affected, vulnerable local communities, on the other, is deeply engrained. So far, the only option for affected communities to participate in investment arbitration is applying for a written submission as *amicus curiae*.

18.4.2 Participation via Amicus Curiae

The submission of *amicus curiae* is a relatively recent practice in investment arbitration, starting in the 2001 landmark case of *Methanex v. USA*.⁶⁹ In the beginning, in cases such as *Aguas del Tunari v. Bolivia*,⁷⁰ tribunals were hesitant to allow third parties to participate as long as the state parties actively opposed it. This changed in the 2005 *Vivendi v. Argentina*⁷¹ decision on jurisdiction, when the tribunal first granted the possibility of a written submission to an *amicus*. Following this institutional breakthrough, the *amicus* procedure was officially regulated in the 2006 amendment to the ICSID Rules of Procedure for Arbitration Proceedings, and later

⁶⁶ J Moore, M Perez Rocha, 'Extraction Casino: Mining Companies Gambling with Latin American Lives and Sovereignty Through Supranational Arbitration' (Mining Watch Canada 2019).

⁶⁷ C Binder, 'Investment, Development and Indigenous Peoples', in SW Schill, CJ Tams, and R Hofmann (eds.), *International Investment Law and Development* (Edward Elgar 2015) 423–52.

⁶⁸ Cf., among others, IACHR, *Case of the Saramaka People v. Suriname*, Preliminary objections, merits, reparations and costs, Judgment of 28 November 2007, Series C, no. 172.

⁶⁹ *Methanex Corporation v. United States of America*, UNCITRAL, Award (3 August 2005).

⁷⁰ *Aguas del Tunari, S.A. v. Republic of Bolivia*, ICSID Case No. ARB/02/3, Decision on Respondent's Objections to Jurisdiction (21 October 2005).

⁷¹ *Suez, Sociedad General de Aguas de Barcelona, S.A. and Vivendi Universal, S.A. v. Argentine Republic*, ICSID Case No. ARB/03/19, Order in response to a Petition for Participation as *Amicus Curiae* Decision on Jurisdiction (19 May 2005).

reaffirmed in the 2014 UNCITRAL Rules on Transparency in Treaty-based Investor-State Arbitration. According to article 37(2) of the ICSID Rules of Procedure, the right to intervene in the proceedings is not unlimited but remains in the discretion of the arbitral tribunal. Moreover, the 'Tribunal shall ensure that the non-disputing party submission does not disrupt the proceeding or unduly burden or unfairly prejudice either party, and that both parties are given an opportunity to present their observations on the non-disputing party submission.'⁷² An increasing number of investment treaties also explicitly offer the option of *amicus curiae*.⁷³

In order to intervene, third parties need to fulfil both formal and substantive requirements. While those might differ slightly depending on the applicable law, the submission must generally fall into the scope of the dispute, the content must be useful to assist the tribunal, that is, differ from the submission of one of the parties, and the third party has to prove an existing interest in the arbitral proceedings.⁷⁴ This is why, in most cases of *amicus curiae*, local communities do not submit themselves, but are represented by NGOs, individuals or international organisations with sufficient legal expertise. This naturally raises questions of representation, for instance in the case of *Bear Creek v. Peru* when the human rights NGO DHUMA spoke in the interests of the indigenous Aymara communities.⁷⁵

While the number of *amicus curiae* submissions is continuously rising in investment arbitration,⁷⁶ their effectiveness to influence the decision is more disputed. According to empirical research by Nicolette Butler, fifty-eight applications by third parties to intervene as *amicus curiae* had been submitted until July 2018, but only sixteen concerned concluded cases. From those sixteen, six had shown a direct effect on the proceedings, meaning the tribunal cited or referenced the *amicus* submission in its reasoning.⁷⁷

⁷² ICSID Rules of Procedure, Art. 37(2).

⁷³ The first was the US Model BIT (2004). For recent example see also the Norway Model BIT (2015), the Indian Model BIT (2015) and the Hong Kong-Chile BIT (2016).

⁷⁴ See also E de Brabandere, 'Amicus Curiae: Investment Arbitration', *Max Planck Encyclopedia of International Procedural Law* (last updated September 2018). The tribunal might decide to accept a submission even if it does not fulfill all the criteria, see *Bear Creek v. Peru* (n. 62).

⁷⁵ *Bear Creek v. Peru* (n. 62) Procedural Order No. 5 (21 July 2016).

⁷⁶ S Lamb, D Harrison, J Hew, 'Recent Developments in the Law and Practice of Amicus Briefs in Investor-State Arbitration' (2017) 5 *Indian Journal of Arbitration Law* 72.

⁷⁷ N Butler, 'Non-Disputing Party Participation in ICSID Disputes: *Faux Amici*? (2019) 66 *NILR* 143, 151f.

One of the earliest examples of a successful *amicus curiae* submission occurred in the case of *Biwater Gauff v. Tanzania*.⁷⁸ This was the first case after the 2006 ICSID amendment in which a petition for *amicus curiae* was filed. The case concerned the operation and management of the Dar es Salaam water system. Tanzania had terminated the contract with the investor BGT after it had failed to meet certain performance guarantees in the investment agreements. While the proceedings, including the parties' argumentation, were kept confidential, the *amicus* brief became available to the general public. The petitioners, three Tanzanian-based legal NGOs and two international NGOs, were allowed to submit their statement,⁷⁹ but were denied requests to access case documentation or to attend the oral hearing.⁸⁰ In their brief, they argued that the investor's own acts and omission had caused the investment to fail. Moreover, they emphasised that investment in public goods such as the water sector comes with a heightened level of corporate responsibility, in particular vis-à-vis the right to clean and safe water. The termination of a contract by Tanzania, as long as it serves human rights as well as sustainability and is done in good faith, would not amount to a contractual breach. The submission had an immense impact on the tribunal's reasoning. In the final award, the arbitrators referred to the submission multiple times, reaffirming that 'the Arbitral Tribunal has found the Amici's observations useful'.⁸¹ It particularly relied on the amici's argumentation on the human right to a clean and healthy water and even reiterated the Millennium Development Goal to reduce the number of people without access to water by 50 per cent. Yet, this extraordinary impact of an *amicus* remains exceptional in arbitral practice.

Amicus submissions cannot achieve compensation for victims. However, it gives them a voice and enables tribunals to make a more informed decision. As illustrated in the case of *Biwater Gauff*, amici can be successful in highlighting the importance of the human rights of the affected communities. Yet, allowing *amicus curiae* submissions to increase

⁷⁸ *Biwater Gauff (Tanzania) Ltd. v. United Republic of Tanzania*, ICSID Case No. ARB/05/22, Award (24 July 2008).

⁷⁹ *Biwater Gauff (Tanzania) Ltd. v. United Republic of Tanzania*, ICSID Case No. ARB/05/22, Petition for *Amicus Curiae* Status (27 November 2006).

⁸⁰ *Biwater Gauff (Tanzania) Ltd. v. United Republic of Tanzania*, ICSID Case No. ARB/05/22, Procedural Order No. 5 (2 February 2007).

⁸¹ *Biwater Gauff (Tanzania) Ltd. v. United Republic of Tanzania* (n. 78) para. 392.

transparency in investment arbitration⁸² cannot compensate the lack of substantial engagement with affected communities. In order to truly empower affected communities, they would need real participation rights on an equal footing,⁸³ for instance the right to initiate a dispute before an arbitral tribunal.⁸⁴ Including a duty to carry out compulsory prior environmental and social impact assessments in newly agreed investment treaties could further diminish the negative effects upon local communities.⁸⁵

18.5 Conclusion: Human Rights and the Future of ISDS

This chapter has investigated the relationship between human rights and investment law from three different perspectives: states, foreign investors and affected communities. From all three viewpoints, one can see a clear shift from the traditional private-law oriented model of investment law and arbitration, which is primarily aimed at facilitating economic growth and protecting investor rights, to a more modern, integrative and public law-inspired vision, which balances investment and non-investment concerns. States have become more willing to include human rights in investment treaties, both in the preamble and in substantive provisions. Arbitral tribunals have become more accommodating to human rights considerations by harmonising divergent obligations of state parties and holding corporations accountable. Foreign investors increasingly face human rights counterclaims and need to comply with emerging standards of corporate responsibility. Affected communities are increasingly using procedural mechanisms such as *amicus curiae* to voice their interests and concerns, thus opening up what are ordinarily highly asymmetric, elitist and closed international arbitration proceedings.

Yet, all those recent developments embody incremental rather than systemic change. The newly drafted treaties and recently adopted decisions,

⁸² See also Kriebaum (n. 14) 675f.

⁸³ Cf. NM Perrone, 'The International Investment Regime and Local Populations: Are the Weakest Voices Unheard?' (2016) 7 *Transnational Legal Theory* 383.

⁸⁴ Open Letter on the Asymmetry of ISDS, www.eur.nl/en/news/erasmus-institute-public-knowledge.

⁸⁵ This issue is explored further in Chapter 26 of this volume, which analyses the draft 2019 UN Business and Human Rights treaty, which confers such a right to victims of corporate violations.

which were highlighted in this chapter, are isolated occurrences. In approximately 90 per cent of investment treaties and awards, human rights are not even mentioned. The role of human rights has thus become a major point of contention in the debate on a systematic reform of the investment regime, for instance in the current UNCITRAL Working Group III process. Time will tell whether those developments will lead to a closer interconnection between human rights and investment law.